

Families and Children Manual
Section: Categories of Eligibility
Policy Manual Number: 015.020
Chapter: **Child 1-5 MAGI**

Legal Authority: 42 CFR 435.4; 42 CFR 435.112; 42 CFR 435.115; 42 CFR 435.118; 42 CFR 435.603

1. Policy Statement

TennCare Medicaid benefits are available to children aged 1 through 5 whose household income is equal to or less than 142% of the Federal Poverty Level (FPL) based on the Eligibility Determination Group (EDG) size, and who meet all non-financial eligibility requirements.

2. Non-Financial Eligibility Requirements

Children eligible for the Child 1-5 MAGI category must meet all non-financial eligibility requirements. Additional information about each condition of eligibility is available in the Non- Financial Eligibility Requirements section of the Families and Children Manual.

- a. Age:** A child must be age 1 through 5.
- b. Citizenship:** A child must be a U.S. Citizen, U.S. national or eligible non-citizen.
- c. Enumeration:** A child must possess and provide a valid Social Security Number (SSN) or proof of application for an SSN, unless they meet an exception.
- d. State Residence:** A child must be a resident of Tennessee.
- e. Cooperation with Child Support Services:** A child is not required to agree to cooperate with Child Support Services. If the parent or caretaker of a child who is applying for benefits refuses to cooperate, the child will not be penalized. The child will be reviewed for or maintain eligibility in this category.

3. Financial Eligibility Requirements

a. Eligibility Determination Group

The EDG for this category uses the Modified Adjusted Gross Income (MAGI) methodology. It is possible for household members to have different EDG sizes when determining eligibility. For additional information regarding EDG size see the Eligibility Determination Group for MAGI policy.

b. Income Standard

The income standard for the Child 1-5 MAGI category is 142% FPL.

c. Budget

Ms. Delaney applied for Medicaid for her 3 year old dependent child. Ms. Delaney is employed with a Net Countable Earned Income of \$2,400. She has no Before/Pre-tax Contributions or 1040 Deductions. The following budget is based on an EDG size of 2 and determines eligibility for the child with an Income Test Limit of \$1,922.

Ms. Delaney's Remaining Countable Earned/Self-Employment Amount, \$2,400, is over the Income Test Limit, \$1,922. Application of the MAGI 5% deduction does not result in the child meeting the Income Test Limit for the Child 1-5 MAGI category.

Income Budget Calculation		
Net Countable Self-Employment Income		\$ 0.00
Net Countable Earned Income		\$ 2,400.00
Before/Pre-tax Contribution Deductions	-	\$ 0.00
Remaining Countable Earned/Self-Employment Amount	=	\$ 2,400.00
Net Countable Unearned Income	+	\$ 0.00
Countable Earned and Unearned Income	=	\$ 2,400.00
1040 Deduction	-	\$ 0.00
MAGI 5% Deduction	-	\$ 68.00
Net Countable Income	=	\$ 2,332.00
Income Test Limit		\$ 1,922.00
Gap Filling Amount	-	\$.00
Total Net Countable Income	=	\$ 2,332.00
Income Test Result		FAIL

The above budget is current as of March 2017.

d. Resource Test

There is no resource test for the Child 1-5 MAGI category.

Families and Children Manual Policy Manual Number: 015.020	Section: Categories of Eligibility Chapter: Child 1-5 MAGI
---	---

Version History

Revision Date	Section	Section Title	Page Number(s)	Reason for Revision	Reviser
08.21.2015				Publication	
03.18.2019	1.; 3.a.	Policy Statement; Eligibility Determination Group	1	Policy Clarification	SN
03.18.2019	3.c.	Budget	2	Non-Substantive Change	SN